PROPERTY CONDITION ASSESSMENT

Ridgeline Manor | Dallas, TX

Property	Ridgeline Manor
Address	7944 Airport Drive, Dallas, TX 64569
Site Visit Date	September 24, 2023
Client	Vireo Income Properties
Immediate Repairs	$169,000

Improvements Description

Common area interiors have been refreshed within the last 11 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The roof is a 45-year membrane system with an estimated remaining useful life of 5 years. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 15 full-time caregivers per shift.

Dining, housekeeping, transportation and activities programming are included in the base fee. The roof is a 12-year membrane system with an estimated remaining useful life of 9 years. Occupancy stands at 92.3% with an average resident length of stay of 5 years. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 3 years and are in average to good condition.

Recommendations

Elevators were last modernized 6 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 7 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 7 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Improvements Description

Occupancy stands at 97.0% with an average resident length of stay of 10 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 9-year membrane system with an estimated remaining useful life of 12 years.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 42 stories. Occupancy stands at 93.1% with an average resident length of stay of 12 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $419,000.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Building Systems

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Common area interiors have been refreshed within the last 5 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Dining, housekeeping, transportation and activities programming are included in the base fee. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 31 stories.

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Common area interiors have been refreshed within the last 8 years and are in average to good condition. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 30 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Observed Conditions

Elevators were last modernized 6 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $273,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 38 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $294,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Improvements Description

Common area interiors have been refreshed within the last 8 years and are in average to good condition. Dining, housekeeping, transportation and activities programming are included in the base fee. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 13 stories. The roof is a 36-year membrane system with an estimated remaining useful life of 12 years. Mechanical systems include rooftop package units and central plant equipment of varying age.

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 6 years and are in average to good condition. The community provides assisted living and memory care services under a state-issued license with 3 full-time caregivers per shift. Mechanical systems include rooftop package units and central plant equipment of varying age. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 29 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Deferred Maintenance

Elevators were last modernized 5 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Elevators were last modernized 9 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $252,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Building Systems

Dining, housekeeping, transportation and activities programming are included in the base fee. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 39 stories. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 15-year membrane system with an estimated remaining useful life of 7 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Immediate Repairs and Replacement Reserve Schedule

System	Age (yrs)	EUL	RUL	Condition	Immediate	Reserve (10-yr)
Roof	27	33	6	Fair	$29,000	$120,000
Paving	21	21	0	Poor	$40,000	$123,000
HVAC	22	23	1	Good	$25,000	$214,000
Plumbing	9	19	10	Fair	$36,000	$46,000
Electrical	4	12	8	Poor	$20,000	$154,000
Elevators	7	32	25	Fair	$27,000	$159,000
Fire/Life Safety	4	13	9	Fair	$38,000	$13,000
Windows	18	35	17	Fair	$14,000	$53,000
Siding/Facade	1	10	9	Fair	$31,000	$199,000
Flooring	15	23	8	Poor	$34,000	$79,000
Appliances	19	26	7	Good	$30,000	$219,000
Landscaping	26	27	1	Poor	$21,000	$176,000
Pool/Amenity	26	39	13	Poor	$15,000	$36,000
Signage	10	11	1	Fair	$13,000	$159,000
Fencing	8	10	2	Good	$37,000	$18,000
Roof (2)	36	38	2	Poor	$11,000	$147,000
Paving (2)	12	35	23	Poor	$16,000	$135,000
HVAC (2)	19	29	10	Good	$23,000	$120,000
Plumbing (2)	8	40	32	Fair	$10,000	$24,000
Electrical (2)	11	11	0	Good	$20,000	$159,000
Elevators (2)	9	12	3	Fair	$31,000	$250,000
Fire/Life Safety (2)	2	11	9	Good	$16,000	$78,000
Windows (2)	11	16	5	Good	$21,000	$37,000
Siding/Facade (2)	12	27	15	Fair	$18,000	$19,000
Flooring (2)	7	11	4	Fair	$5,000	$62,000
Appliances (2)	7	11	4	Fair	$24,000	$153,000
Landscaping (2)	8	13	5	Fair	$21,000	$111,000
Pool/Amenity (2)	13	23	10	Fair	$20,000	$41,000
Signage (2)	17	38	21	Fair	$11,000	$172,000
Fencing (2)	7	30	23	Good	$0	$267,000

Report generated 09/24/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Findings and Opinions of Cost

Item	Location	Observed Condition	Recommended Action	Priority	Est. Cost
Sidewalk	Roof	Trip hazards	Grind / replace	Year 1	$15,000
Handrail	Mechanical	Loose	Secure	Year 1	$81,000
HVAC unit	Site	Beyond useful life	Replace RTU	Year 2-5	$70,500
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Year 2-5	$23,500
Window sealant	Site	Failed	Re-caulk	Year 2-5	$73,500
Asphalt paving	Bldg A	Alligator cracking	Mill and overlay	Year 2-5	$72,500
Sidewalk	Bldg A	Trip hazards	Grind / replace	Year 1	$81,000
Water heater	Roof	Corrosion	Replace	Year 1	$61,500
Sprinkler heads	Bldg B	Painted heads	Replace	Reserve	$84,500
HVAC unit	Roof	Beyond useful life	Replace RTU	Reserve	$82,500
Roof membrane	Mechanical	Ponding / seams	Re-seal and repair	Year 1	$47,000
Sidewalk	Bldg B	Trip hazards	Grind / replace	Reserve	$72,000
HVAC unit	Roof	Beyond useful life	Replace RTU	Immediate	$60,500
Fire extinguishers	Mechanical	Expired tags	Service	Reserve	$77,500
Fire extinguishers	Site	Expired tags	Service	Year 2-5	$28,000
Window sealant	Mechanical	Failed	Re-caulk	Immediate	$1,500
Sidewalk	Bldg B	Trip hazards	Grind / replace	Immediate	$43,500
Sprinkler heads	Common	Painted heads	Replace	Reserve	$47,000
Window sealant	Bldg A	Failed	Re-caulk	Reserve	$10,000
Fire extinguishers	Mechanical	Expired tags	Service	Year 2-5	$90,000
Water heater	Bldg B	Corrosion	Replace	Year 1	$50,500
Stair treads	Roof	Worn / loose	Replace treads	Year 2-5	$57,000
Fire extinguishers	Roof	Expired tags	Service	Year 1	$51,500
HVAC unit	Common	Beyond useful life	Replace RTU	Reserve	$34,500
Water heater	Bldg B	Corrosion	Replace	Reserve	$26,500
HVAC unit	Roof	Beyond useful life	Replace RTU	Reserve	$4,000
Asphalt paving	Common	Alligator cracking	Mill and overlay	Reserve	$8,000
HVAC unit	Common	Beyond useful life	Replace RTU	Immediate	$32,000
Stair treads	Site	Worn / loose	Replace treads	Immediate	$80,000
Water heater	Site	Corrosion	Replace	Year 2-5	$28,500
Window sealant	Bldg A	Failed	Re-caulk	Year 2-5	$2,000
Fire extinguishers	Mechanical	Expired tags	Service	Reserve	$4,500
Fire extinguishers	Common	Expired tags	Service	Reserve	$85,500
Dumpster enclosure	Bldg B	Damaged gate	Repair	Year 2-5	$5,500
Dumpster enclosure	Mechanical	Damaged gate	Repair	Immediate	$9,500
Handrail	Bldg A	Loose	Secure	Year 1	$62,000
Water heater	Bldg B	Corrosion	Replace	Immediate	$87,500
Sprinkler heads	Bldg B	Painted heads	Replace	Year 1	$25,000
HVAC unit	Bldg B	Beyond useful life	Replace RTU	Year 2-5	$55,500
Sprinkler heads	Roof	Painted heads	Replace	Immediate	$22,000

Report generated 09/24/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 34 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $397,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $29,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 8 months.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $416,000. Elevators were last modernized 9 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $170,000. Elevators were last modernized 4 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Ridgeline Manor and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on August 25, 2023.

_____

Julia Ito, CPG

Lindqvist Engineering Group

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only